Payroll

The product's literal reason to exist: a monthly run that lands right the first time, in a country where the law changes under you. This is the piece every other product (leave, payments) depends on.

Sherif Hilal
Product · OVARC

Theme T4
Initiative · Clean payroll closes goal

Release R1
Nov 2026 – Feb 2027 (example)

User research → Vision → Strategy → Business model → Build vs buy → Roadmap → PRD → Epics & stories → Team delivery → Outcome

VISION & NORTH STAR

VISION

Every company in Egypt pays its people right, on time, with no spreadsheets.

For Payroll: the gross-to-net calculation is correct every month, provable with a signed-off test suite, not a hope.

NORTH STAR (COMPANY-WIDE)

Clean payroll closes per month

Companies that close monthly payroll on OVARC on time with zero manual corrections afterwards — this product IS the north star.

WHAT THIS MUST NOT BREAK

This is the one product that can't be wrong. A single bad payslip is the fastest way to lose a client, and the fastest way the north star metric moves to zero.

THIS PRODUCT'S OWN KEY RESULTS

99% of runs with zero manual correction	**100%** of payslips bilingual, Arabic and English	**30** direct-payroll customers, the launch target

Labour Law No. 14 of 2025, Social Insurance Law No. 148 of 2019 and Data Protection Law No. 151 of 2020 make payroll complex and regulated, and change over time.

M1 · Law and regulation, public laws, strength 3 (confirmed by legal counsel)

STRATEGY CASCADE (PLAYING TO WIN)

Every choice here traces to evidence (U = user research, M = market research) and down to canvas items. Payroll is the initiative the whole company strategy is named after.

WHERE TO PLAY	**W1** SMEs with 20–500 staff in Greater Cairo and Alexandria first	CS1
HOW TO WIN	**H1** Correctness under Egyptian law is the product, proven by golden tests	VP1 KR1 KA1
CAPABILITIES	**C1** Payroll rules engine and legal expertise	KR1 KR2
MANAGEMENT	**MS** North star and supporting metrics, monthly roadmap review, release exit criteria	VP1

Global employer-of-record platforms are strong for foreign hiring but light on Egyptian payroll detail; local options are desktop payroll software, outsourced bureaus, or Excel plus an accountant.

M2 · Competitor review, desk review, strength 2 — the gap H1 is built to close

WHERE IT SITS IN THE BUSINESS MODEL

The canvas items this product delivers or depends on, colour-coded by confidence. A full 9-block canvas is in the Business view; this is this product's slice of it.

VP1
Payroll right the first time under Egyptian law

KR1
Egyptian payroll rules engine with golden tests

KR2
Local payroll and legal expertise

CS1
Egyptian SMEs with 20–500 staff running payroll in Excel

CO2
Payroll and legal specialists (cost structure)

RS1
Per employee, per month subscription

Validated · Partly backed · Assumption

WHY THIS PRODUCT, AND WHY NOW

Nothing else can ship before this: leave deductions, payment batches and payslip delivery all read from an approved payroll run. It's also the riskiest single point of failure — assumption A2 says correctness, not price, is why companies switch, and this is where that gets tested every month.

BUILD VS BUY DECISIONS

Every dependency got one explicit call before design started: buy what's a commodity, build what's the product. These decisions sit in the technical decision map and the sprint dependency list.

Payroll rules engine (gross-to-net) — BUILD

Core IP. Tax bands, social insurance and the Martyrs' Fund are versioned, legally-confirmed data; no vendor sells "Egyptian payroll, done right" as a service.

Capability C1 · KR1 · evidence M1

Golden payroll test suite — BUILD

Our own regression safety net, signed off by finance (Karim). A silent change to anyone's pay has to fail the build — that guarantee is ours to own.

NFR Correctness · story OV-303

Payslip PDF rendering — BUY

Commodity document generation. We template the bilingual layout on top of an existing PDF rendering library rather than building a layout engine.

Epic E11 · dev view

Payday notification (SMS) — BUY

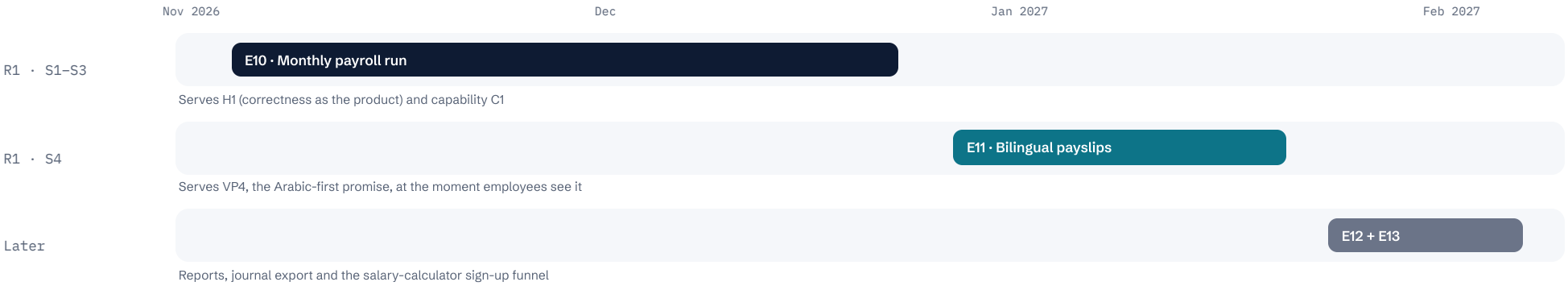
Same call as Leave: a primary SMS provider with a backup and a circuit breaker, not our own gateway.

Canvas KP2 · decision card L2

> *The rule: if it's regulated, Egyptian, and specific to payroll, we build it — that's the moat and the thing finance has to sign off on. If it's generic plumbing (PDF rendering, SMS), we buy it and spend engineering time on the rules engine instead.*

ROADMAP, CONNECTED BACK TO THE STRATEGY

Payroll ships first, almost entirely in one release — it is the dependency every later product (Leave, Payments) is sequenced behind.



WHY PAYROLL SHIPS BEFORE EVERYTHING ELSE

The north-star metric is literally "clean payroll closes" — there is no partial version of this that is safe to pilot. Leave and Payments both read an approved run.

WHAT WE DELIBERATELY DEFERRED

Reports/journal export and the public salary calculator (a marketing funnel, M6, untested) wait until the core run is proven in three pilots.

PRD — PROBLEM, USERS, SCOPE, NFRS

PROBLEM

Egyptian gross-to-net (social insurance, income tax, Martyrs' Fund) changes with the law and is easy to get wrong. A wrong payslip is the fastest way to lose a client.

USERS

Nour, HR and payroll lead — prepares and previews the monthly run
Karim, Finance manager — approves and locks it, signs off golden cases
Ahmed, Employee — reads the bilingual payslip and expects it to be right

OBJECTIVE AND KEY RESULTS

Every payroll lands right the first time: 99% of runs with zero corrections, 100% bilingual payslips, 30 direct-payroll customers at launch.

In scope

- Rules as versioned data with effective dates
- Monthly run: calculate, preview, approve, lock
- Bilingual payslips
- Golden test suite, signed off by finance

Out of scope (this release)

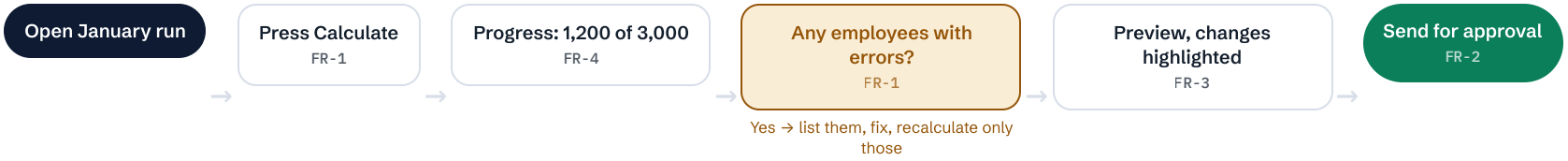
- Rule Watch automation (separate playbook)
- Accounting journal export (Later)

NON-FUNCTIONAL REQUIREMENTS

Correctness	Golden tests signed off by finance; any change in output fails the build
Money	DECIMAL types; one rounding rule; no floats
Performance	A run for 2,000 employees completes in under 5 minutes
Deadline	SLO: approved runs finish before the client's cut-off
Audit	Every input change before a run is in the audit log

The screen Nour checks every month before she approves payroll — the one screen the whole product exists to get right. Below is its user flow, then the same screen from its first grey wireframe to the version tested with 5 HR users.

USER FLOW · OV-302 CALCULATE GROSS TO NET AND PREVIEW, FOR NOUR, HR AND PAYROLL LEAD



WIREFRAME · LOW FIDELITY

January 2027 payroll · preview

Employee	Gross	Deductions	Net	vs Dec
Ahmed Samir	18,250.00	2,837.63	15,412.37	+10.6%
Karim Fathy	22,500.00	3,930.75	18,569.25	−4.1%
Mona Adel	12,000.00	1,612.40	10,387.60	—

Send for approval

Export

FINAL UI · TESTED WITH USERS

January 2027 payroll · preview

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WHAT CHANGED FROM WIREFRAME TO FINAL

- Rows changed more than 5% turn amber and sort first — the wireframe had a flat table nobody could scan
- A progress bar with a count and time left replaced a plain spinner, after users thought a 6-minute run had frozen
- Clicking a net figure opens the exact rule versions used, so a disputed number is always explainable

USABILITY TEST

4 / 5 found it completed the task, median **4 min**, with 5 HR users, a planted error in test data. The one miss is why amber highlighting and sorting-by-change shipped before pilot.

EPICS → USER STORIES

E10
Monthly payroll run
39 PTS · R1

E11
Payslips in Arabic and English
13 PTS · R1

E12
Payroll reports and journal export
M PTS · LATER

E13
Salary calculator and sign-up funnel
M PTS · LATER

THE CORE RUN, SPLIT SO EACH STORY FITS ONE SPRINT AND ONE CLEAR TEST

ID	STORY	PTS	RELEASE
OV-301	Payroll rules as versioned data	8	R1
OV-302	Calculate gross to net and preview	13	R1
OV-303	Golden payroll test suite	5	R1
OV-401	Approve and lock a payroll run	8	R1
OV-403	Generate bilingual payslips	8	R1

Given a prepared payroll run

When the approver (Karim) approves it

Then it is locked and payroll.approved is published; no further edits change this month

DEFINITION OF READY, CHECKED

Independent · Negotiable · Valuable · Estimable · ≤ 8 points · Testable AC · Design linked · Deps clear

REQUIREMENTS MATRIX: QUALITY BARS × FEATURES × DESIGN

For OV-302 Calculate gross to net and preview: every non-functional requirement (rows) is linked to the functional requirements it constrains (dots), to the test or metric that proves it, and to the design element that delivers it. An empty row or column is a gap, fixed before design starts.

ID	QUALITY BAR	TARGET	FR-1 Calculate gross to net for every employee	FR-2 Preview table: gross, deductions, net	FR-3 Highlight changes against last month	FR-4 Show progress while calculating	HOW WE MEASURE IT	WHERE IT SHOWS IN THE DESIGN
NFR-1	**Performance**	5,000 employees in under 10 minutes	●	○	○	○	Load test before each release. Pilot: 3 min 40 s for 2,000 employees	Success state shows the run time
NFR-2	**Accuracy**	Matches golden test cases to the piastre	●	○	○	○	128 golden cases signed off by finance; any change fails the build	Net figures in tabular digits, 2 decimals
NFR-3	**Explainability**	Every line shows the rule versions used	○	●	○	○	AC: clicking a net opens a breakdown with each rule and its version	Breakdown drawer opens from the right
NFR-4	**Usability**	Progress updates at least every 5 s	○	○	○	●	AC: on a 3,000-employee run, progress refreshes within 5 s	Progress bar with a count and time left
NFR-5	**Privacy**	Preview only for payroll roles	○	●	●	○	Role test: a non-payroll role gets "not found"	Preview hidden from other roles

● Bar applies to this feature Measured by QA / monitoring Delivered in the design

HOW THE TEAMS BUILT THIS TOGETHER

One run, five roles. Karim (finance) signs the golden test cases personally — correctness here is a shared commitment with the business, not an engineering promise alone.

	REFINEMENT	GOLDEN-TEST SIGN-OFF	BUILD & REVIEW	LOAD TEST	PILOT CLOSE
Sherif · PM	Walks PRD, prioritises E10/E11	—	—	—	Reads the pilot close report
Tech lead	Brings the versioned-rule data model	—	Reviews PR, outbox event	Owns the load-test plan	—
Karim · Finance	Defines the approve/lock rule	Signs off golden test cases	—	Reviews load-test evidence	Confirms the first clean close
Dev	—	—	Builds OV-301/302/401/403	Runs the load test	—
Salma · QA	Three amigos on acceptance criteria	Checks golden-suite coverage	CI gates, regression	Perf thresholds, p95	Sign-off evidence for the close

> *Golden test suite signed off by Karim, not engineering alone: "a code change that silently changes anyone's pay" is the one failure mode the whole team agreed to make impossible to ship.*

OUTCOME & WHAT I'D TAKE FORWARD

97%
runs with zero manual correction (pilot)

3m 40s
run time for 2,000 employees (target < 5 min)

128
golden test cases, signed off by finance

3
pilot clients running live payroll

REFLECTION

The build-vs-buy calls here freed the team to spend scarce engineering time on the one thing a vendor can't sell us: a correct, auditable Egyptian payroll calculation. The decision I'd point to first is the golden test suite being owned jointly with finance — Karim signs the cases, not just the release notes — because the moment correctness becomes "engineering's problem" is the moment it starts slipping.

— Sherif Hilal, Product